

Income survey will help map changes in Indian economy

In the past few years, the government has taken several steps to **plug gaps** in data availability. Recently, after **considerable** delay, it announced the dates for **carrying out** the **Census**. This week, it took another step towards making information **robust** — a household income survey has been **tentatively** scheduled for 2026. An expert committee has been formed to guide the statistics office in this **endeavour**. This is a welcome **development**.

The government has attempted to collect household income data in the past as well. But these exercises have not **yielded** the desired results. **For instance**, **data** on household receipts and **disbursements** **was** collected as part of the Integrated Household Surveys during July 1964-June 1965 and July 1969-June 1970. But “the **estimates** of income were lower than the estimates of consumption and savings **put together**”. Such **underestimation** is not **confined to** survey estimates of household income. The household consumption expenditure surveys have also been **criticised** for underestimating consumption when compared to the expenditure estimates in the **National Accounts**. Some other surveys do collect information on income, but their scope is limited. For instance, the periodic labour force surveys collect data on wages and salaries of casual labour and regular wage/salaried employment. The Situation Assessment of Agricultural Households also provides estimates of income, though only for a segment of the population. The 2019 survey collected information on income from wages, from leasing out land, from crop production (net), farming of animals, and from non-farm business. In the absence of an official all-India survey of household incomes, expenditure **data** from the consumption surveys **tends to** be used as a **proxy**. This data is used to estimate both **poverty** and **inequality**. However, independent **surveys** such as the India Human Development Survey **show** that **inequality** based on household income **is** higher than that based on consumption.

There will be several issues to **contend with**. Households may not accurately report their incomes, with some preferring not to disclose all their **avenues** of income. Some **jobs** — and thus the incomes that **accrue** — **are** seasonal in nature. **Respondent recall** may not be accurate. The **extent** of underestimation could be greater among households at the higher end of the distribution. However, **granular data** on incomes in society, collected regularly over a period of time, **will** not only provide a wealth of information about households, but also greatly **assist** in understanding changes in the economy and society. For example, the University of Michigan’s **Panel Study** of Income Dynamics, which began in 1968 with a sample of 18,000 individuals over 5,000 families, **has** collected information on these individuals and their **descendants** across several **parameters** such as income, expenditure, health and education. This allows for an **exploration** of various **facets** of the US economy and society across generations. Such surveys can greatly **aid** policymaking. **[Practice Exercise]**

- **Respondent recall** (noun) – a participant's ability to accurately remember and report past events, experiences, or information requested in a survey

Vocabulary

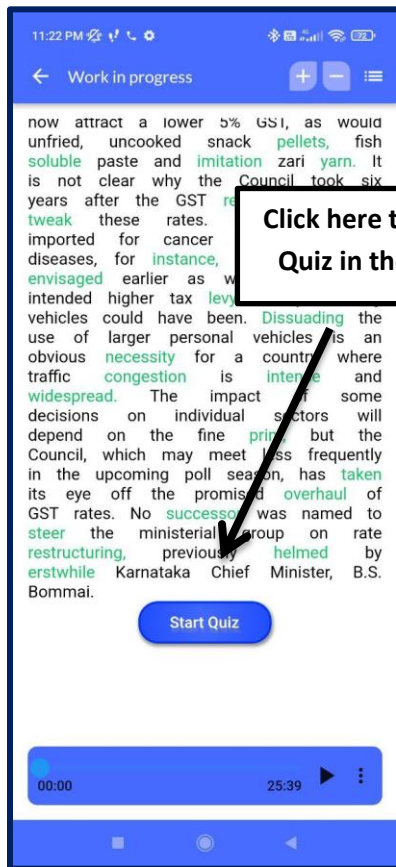
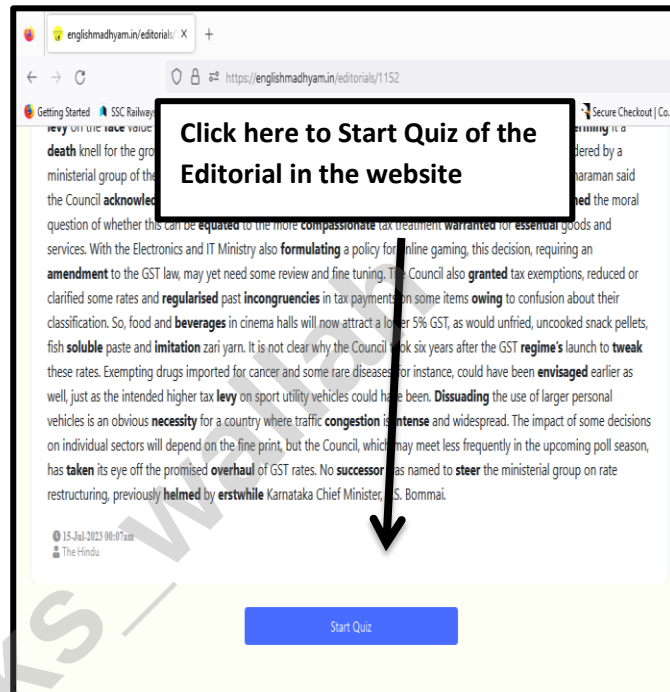
1. **Plug gap** (phrasal verb) – Fill gap, close gap, bridge gap, remedy deficiency, mend shortfall कमी पूरी करना
2. **Considerable** (adjective) – Significant, substantial, ample, noteworthy, extensive पर्याप्त
3. **Carry out** (phrasal verb) – Execute, perform, conduct, implement, accomplish करना
4. **Census** (noun) – Population survey, headcount, demographic study, enumeration, population register जनगणना
5. **Robust** (adjective) – Strong, sturdy, solid, resilient, reliable मज़बूत
6. **Tentatively** (adverb) – Provisionally, hesitantly, conditionally, uncertainly, experimentally अनिश्चित रूप से
7. **Endeavour** (noun) – Effort, attempt, undertaking, venture, pursuit प्रयास
8. **Development** (noun) – Event, happening, occurrence, change, incident, घटनाक्रम
9. **Yield** (verb) – Produce, generate, give, provide, result in परिणाम देना
10. **For instance** (phrase) – For example, such as, like, to illustrate, as an example उदाहरण के लिए
11. **Disbursement** (noun) – Payment, expenditure, outlay, spending, distribution भुगतान
12. **Estimate** (noun) – Approximation, assessment, evaluation, calculation, guess अनुमान
13. **Put together** (phrasal verb) – Combine, assemble, compile, integrate, gather इकट्ठा करना
14. **Underestimation** (noun) – Undervaluation, miscalculation, understatement, minimizing, downplaying कम आकलन
15. **Confine** (to) (verb) – Restrict, limit, constrain, bound, enclose सीमित करना
16. **Criticise** (verb) – Condemn, disapprove, censure, denounce, fault आलोचना करना
17. **National Account** (noun) – Economic ledger, national ledger, official statistics of income and expenditure, macroeconomic record, country's economic record राष्ट्रीय लेखा
18. **Tend** (to) (verb) – Be inclined, lean towards, be likely, have a tendency, gravitate प्रवृत्त होना
19. **Proxy** (noun) – Substitute, stand-in, surrogate, representative, alternative विकल्प

20. **Poverty** (noun) – Destitution, impoverishment, penury, indigence, scarcity गरीबी
21. **Inequality** (noun) – Disparity, imbalance, unfairness, unevenness, discrimination असमानता
22. **Contend** (with) (verb) – Deal with, face, grapple with, confront, struggle with सामना करना
23. **Avenue** (noun) – Channel, means, path, route, opportunity माध्यम
24. **Accrue** (verb) – Accumulate, amass, gather, collect, build up जमा होना
25. **Extent** (noun) – Scope, range, magnitude, breadth, scale सीमा
26. **Granular** (adjective) – Detailed, fine-grained, specific, thorough, minute सूक्ष्म
27. **Assist** (verb) – Help, aid, support, facilitate, back मदद करना
28. **Descendant** (noun) – Offspring, successor, heir, progeny, child वंशज
29. **Parameter** (noun) – Criterion, guideline, specification, measure, standard मापदंड
30. **Exploration** (noun) – Investigation, examination, study, research, analysis अन्वेषण
31. **Facet** (noun) – Aspect, feature, side, component, element पहलू
32. **Aid** (noun) – Help, assistance, support, relief, backing सहायता

Summary of the Editorial

1. The government has announced a household income survey tentatively planned for 2026, marking a significant step towards improving data quality.
2. An expert committee has been established to guide the statistics office in conducting this survey.
3. Previous attempts to gather household income data, such as surveys in 1964-65 and 1969-70, produced unreliable results.
4. Earlier surveys underestimated household income, showing income estimates lower than combined estimates of consumption and savings.
5. This problem of underestimation is not unique to income surveys; consumption expenditure surveys have also been criticized for underestimating actual spending.
6. Existing surveys, like the periodic labour force surveys, only cover limited aspects of income such as wages and salaries.
7. The Situation Assessment of Agricultural Households provides income estimates but only for agricultural households, leaving out large segments of the population.
8. The 2019 agricultural survey included income data from wages, land leasing, net crop production, animal farming, and non-farm businesses.
9. Due to the absence of an official all-India income survey, consumption expenditure data is often used as a proxy for measuring poverty and inequality.
10. Independent surveys like the India Human Development Survey reveal that inequality measured by income is higher than that measured by consumption.
11. Challenges for the new income survey include inaccurate self-reporting, reluctance to disclose income, and income variability due to seasonal jobs.
12. Recall bias among respondents could also distort the accuracy of reported incomes.
13. Underestimation of income is likely to be more pronounced among wealthier households.
14. Consistent, granular income data will be invaluable in analyzing economic and social changes across time.
15. Long-term income studies, like the US Panel Study of Income Dynamics, demonstrate how such data can enhance understanding of societal trends and inform better policymaking.

Practice Exercise: Banking Pattern Based

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